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Company Name: Best Buy Co., Inc.

RISK ASSESSMENT

Best Buy Co., Inc, an American company, is the world's largest specialty electronics retailer. It is a publicly held company that trades on the New York Stock Exchange with the symbol "BBY" (Best Buy, 2025). According to Databahn, Best Buy has a well-defined hierarchical structure and clearly cut lines of authority.

The Chief Executive officer (CEO) is topmost on the hierarchy. The CEO is responsible for setting the company's vision, establishing company goals and also leading the executive leadership team. Currently, the CEO is Corrie Barry.

The Executive Leadership Team is the next on the hierarchy and this group of leaders report directly to the Chief Executive Officer. They oversee the functional areas and business divisions within the company like human resource, marketing, technology, and operations.

Divisions and Departments are the next on the hierarchy. They are various departments and divisions for specific function within the organization. These divisions include the retail division which is responsible for the physical stores, the e-commerce division which is responsible for the online platform as well as marketing, the merchandising division which is responsible for vendor relationships, product assortment and pricing as well as the inventory planning, and the services division, which is responsible for providing technical support as well as installing and repairs services.

The next on the hierarchy is the Regional Structure. These leaders oversee the performance of stores and also ensure that all the stores act and operate in alignment with corporate goals and policies.

Then there is the store-level operations. This is the lowest on the hierarchy. At this level, there is a General Manager who is responsible for the day-to-day activities as well as the operations of individual stores assigned to them. There are also teams like the customer service team and inventory management team (Databahn, 2025).

Everyone on the hierarchy plays an important role in the organization and work together to achieve the company's goals.

The mission statement of Best Buy is "to enrich lives through technology" (Best Buy, 2025). To achieve this, Best Buy offers a wide range of the latest technologies including laptops, smart phones among others. The headquarters of Best Buy is located at Richfield, Minnesota in the United States of America.

According to Companies history.com, in 1966 Richard M. Schulze and a business partner opened a store named Sound of Music. The store specialized in high-fidelity stereos in Saint Paul, Minnesota. Schulze invested heavily and opened the first store in 1967. Sound of Music made about \$58,000 profits in its first year. Schulze had bought out his business partner by 1969, the company had 2 more stores and was listed on the NASDAQexchange. By 1978, the company had opened 9 stores across Minnesota. The largest of these stores was hit by a tornado in 1981 which destroyed the showroom and the roof. However, the storeroom was left unscathed. Schulze therefore decided to have a "Tornado sale" of the excess stock, promising customers the "best buy." He made more money in four days than he did in a month.

The company was later named Best Buy in 1983 and the products sold were expanded to include home appliances and VCRs. Best Buy debuted on the New York Stock Exchange in 1987. It later hired Vituocom Group to revamp its website and handle the company's online content (Company's history.com, 2024). Best Buy now has over 85,000 employees and over 1000 stores in America and Canada(Best Buy, 2025).

Best Buy's customers are primarily tech-savvy individuals. In order to reach these target customers, Best Buy has a huge number of physical stores that offers these target customers the opportunity to have first hand feel and experience with the latest technology in stock in order to decide what suits them the most and also make informed purchases. There are also experts stationed in all the physical stores who assist customers and provide technical advice. The company also has an e-commerce platform that offers customers the luxury of browsing through the stock at the comfort of their homes, placing orders and having it delivered to them at their homes. The company employs experts named Geek Squad who are responsible for providing technical support, installation and repair services for devices (Databahn, 2025). Best Buy has become the go-to destination for customers looking to purchase the latest technology products.

Best Buy harbors plans to launch a new third party marketplace in the middle of 2025. This new marketplace will give customers new categories to choose from. The prospect of a new platform is gaining much attention from brands including brands outside electronics (Mitchell Parton, 2025).

Best buy could be susceptible to a myriad of threats which could heavily affect it's profitability and survivability. These threats range from natural threats like snow storm and wild fires, to man-made threats like theft and hackers. The scope of these threats have become more complex to handle with advancement in technology and inter-connectivity. It is important for a proper assessment and understanding of these threats as it informs decision making, policy development, planning as well as resource allocation. Below is an assessment of the threats, and how they can be managed

Threats are rated based on the impacts they could have on the organization as well as the their probability of occurrence on what is called a threat matrix. The table below rates risks based on their impact and likelihood of occurrence. Threats that rank high on the matrix need to be addressed immediately.

5x5 Risk Matrix Example						
		Impact How severe would the outcomes be if the risk occurred?				
		Insignificant 1	Minor 2	Significant 3	Major 4	Severe 5
Probability What is the probability the risk will happen?	5 Almost Certain	Medium 5	High 10	Very high 15	Extreme 20	Extreme 25
	4 Likely	Medium 4	Medium 8	High 12	Very high 16	Extreme 20
	3 Moderate	Low 3	Medium 6	Medium 9	High 12	Very high 15
	2 Unlikely	Very low 2	Low 4	Medium 6	Medium 8	High 10
	1 Rare	Very low 1	Very low 2	Low 3	Medium 4	Medium 5
SafetyCulture						

Image from Safety culture, 2025

One of the threats posed to Best Buy is theft. Theft has a rating of 20 on the matrix. Merriam Webster defines theft as “the felonious taking and removing of personal property with intent to deprive the rightful owner of it” (Merriam-Webster, 2025). Best Buy’s collection, which includes high end smart phones, laptops and other top notch technology products could make it a hunting ground for theft activities.

Threats could come from internal sources. This is basically employee or insider theft. The actors of this threat are employees. This could be a disgruntled employee or just any employee. Employees are privy to Best Buy’s system and know all the loopholes in the operational system. Employees also know which surveillance camera isn’t working and the aisles with little or no security. A disgruntled employee could take advantage of that and steal as many items as they want. Disgruntled employees who know their way around the return system could also work with outsiders to engage in return fraud/theft. This poses a great threat to Best Buy’s profitability as these actions most often go unnoticed, leading to loss of thousands or millions of dollars.

Theft threats could be external. This is one growing problem in United States of America and Best Buy could face their fair share of it if the right action is not taken against it. The perpetrators of this crime are most individuals who pose as customers.

Shoplifting is one of the external theft threats. Most of Best Buy’s brick and mortar stores are huge, making it difficult for every aisle to be under constant monitoring by the understaffed security personnel. This makes the organization vulnerable to the activities of shoplifters who could take advantage of this and steal items which could lead to loss of huge sums of money.

Online theft is another. People have now adopted technology in almost every sphere of life including theft. Perpetrators steal or wrongly access people’s credit cards and use them to make huge purchases. Best Buy’s e-commerce platform is now one of the most popular in the country now and the items sold could present a good venture for these group of thieves.

lastly, another theft threat that the organization could be susceptible to is organized crime. We hear a lot of organized crime activities in retail shops and Best Buy could be their next target. Best Buy could be susceptible to this threat because of the low security presence at the physical shops. These groups target shops with high value items which Best Buy presents. They are sometimes heavily armed, posing dangers to onsite employees and customers as well. The damages they make are huge and could lead to very huge losses. The effects of organized crime could also have dire impacts on the organization’s reputation.

For the growth and profitability of the organization, it is paramount that threats from theft are managed. To Mitigate against theft, employees should be educated and trained on theft and loss prevention. They should also be well remunerated and motivated to work.

There should also be a good number of surveillance cameras and security personnel including security experts in all corners and on the every aisle in the store. Security at the entrances should also be beefed up. This will deter employees and customers from shoplifting and stealing in general.

Potential employees should have their backgrounds properly checked before being employed. This will enable the organization to hire people with good and proven track records.

Best Buy must implement modern multi-factor verification to protect customers from potential fraud activities and also educate them on best practices when using their Best Buy credit cards.

Malwares are another group of threat that could harmfully affect Best Buy's profitability and survivability. They have a rating of 20 on the Matrix as their consequences could be dire on the organization. "Malware, short for malicious software, refers to any intrusive software developed by cybercriminals to steal data and damage or destroy computers and computer systems" (Cisco, 2025).

Malware programs include viruses. These are the most common form of malware. It is a computer program that can copy itself and infect a computer without permission or knowledge of the user (NIST, 2025). Viruses could spread by executing infected programs or files and opening infected email attachment. Viruses, like biological viruses, can spread quickly and infect a network of systems leading to operational losses. They attach themselves to files (host) and spread, just like biological viruses.

Another form of malware is worms. This group of malware are self replicating and do not need a host to propagate, unlike viruses. They take up space and slow systems.

Trojan is another form. These are programs which pose as legitimate and innocuous programs but have concealed motives. Users are normally enticed to open or download them. They then propagate discretely. They've previously been used as remote to control infected computer system and for illegitimate backdoor access.

Ransomware is also a form of malware. This type of malware encrypts files and prevents the user legitimate access until an amount is paid. Systems are infected by downloading infected files and through websites. Victims are essentially held at ransom to pay the attacker for the decryption key or risk losing access to their resources.

Botnet, is a network of of malware infected computer systems which are used to perform attacks on computer systems, is another form if malware. These are normally used to propagate spam and Distributed Denial of Attack. Botnet blends elements of existing malware to perform attacks.

Perpetrators of Malware attacks could be competitors, state sponsored actors and disgruntled past or current employees. Best Buy employs third party companies and has vast network of interconnected computer systems. This could make them vulnerable to malware attacks. malicious code could incapacitate the e-commerce platform. The e-commerce platform could be the object of attack as it could represent a profitable venture for competitors and other villains. A malicious code could incapacitate the platform which could lead to loss of millions of dollars and dent the brand's image.

The effects of malware could be crippling to Best Buy. A proactive approach has to be meted out to to mitigate against them. It is therefore important for a proper audit of the operating

networks and computer systems to locate vulnerabilities that could be exploited by attackers. Nessus, a vulnerability scanner, should be used to check possible entry points of malware. Nessus scans for network operating system, database, etc to locate vulnerabilities and reports results of the scan for the appropriate action to be taken.

In order to further prevent malware attacks all employees, from top management to the least on the hierarchy should be educated on the threat that malware poses to the organization. They must encouraged to be security alert, be discouraged from downloading from unknown sources and also avoid clicking suspicious emails.

All computer systems should have installed on them a working antivirus which must be kept up to date at all times and firewalls with most recent patches should be implemented to protect all the organization's systems and networks resources.

Another type of attack that could threaten Best Buy's profitability or survival is hacking. It has a rating of 25 on the matrix. Hacking has been defined as "the use of unconventional or illicit means to gain unauthorized access to a digital device, computer system or computer network"(IBM,2024). People who indulge in this crime(Hackers) steal sensitive personal data like credit card and social security numbers, partake in espionage or stealing corporate information for competitors, engage in ransomware and engage in fraudulent activities. Hackers involve the use of technical means like the use of Artificial Intelligence to to plan and execute attacks and less technical means like social engineering to achieve their goals. Social engineering involves tricking people to give access to vital data or to send money.

Best Buy relies heavily on technology which means there could always a vulnerability like unsecured passwords and outdated software that could be exploited by hackers. Best Buy also employs third party service providers and vulnerabilities of these service providers could act as an entry point for hackers.

The employees could also be the entry point as they could be tricked to grant access to systems.

The actors of this crime could be a young tech savvy adults. These group of people could be less a experienced hacker or a script kiddie. "Script kiddies is slang for amateur hackers who lack the technical skills needed to create their own hacking programs or conduct sophisticated attacks, such as SQL injections, so they use scripts created by others"(Avast, 2025). They normally create more harm than intended. Best Buy's collection could and brand could appeal to these group of people.

Best Buy's could also be a victim of espionage. Competitors could employ hackers to hack computer systems so they could spy and gain unauthorized access to sensitive data.

As mentioned earlier, it is essential for a vulnerability scan to be done on all computer systems and network resources to identify and address all potential entry points for hackers. A vulnerability scanner like Nessus essentially does this.

It is important to mitigate against the activities of hacker as consequences of a successful hacking action could be brutal to Best Buy's profitability, survivability and the brand's image.

In order to prevent hacks, there should be adequate education and training for all staff on the activities of hackers. Staff should be educated and encouraged to avoid opening suspicious emails and also avoid opening personal mails on the organization's computers.

Also, anti-virus programs and firewalls should be installed on all computer systems and networks resources. These programs must be kept updated at all times. All operating systems must also be kept up to date at all times

Lastly, very strong passwords should be used and multiple factor verification should be employed for all computer systems and accounts.

With all these methods in place, the probability of Best Buy being a victim of these threats discussed above will be reduced to the barest minimum.

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